

POLICYREADY • FLORIDA

How to Open a Group Home Business in Florida

Foster homes & group homes under the iBudget waiver, for people with IDD

Step by Step

*From “where do I start?” to your first payment —
whether you start with a small foster home, or a full group home.*

A complete, plain-language guide for real people — not lawyers or consultants.
Figures current for 2026 • Verify all details with the State of Florida.

Read this first

This is a plain-language roadmap built from Florida's actual rules, agencies, and rate tables. It is not legal, tax, or billing advice, and the details change — rates, codes, and regulations update regularly. Before you act, confirm the current specifics with APD, AHCA, your local fire authority, an attorney, an accountant, and an insurance broker. Every rule, code, and citation here is real and pulled from the state's own sources — but always check the current version before you rely on it.

What this guide covers

- Part 0 — The big picture: foster homes vs. group homes, who the players are, and the two ways in.
- Part 1 — Path A: opening a licensed foster home (up to 3 residents) — the small, fast start.
- Part 2 — Path B: opening a group home (4–15 residents) — the bigger operation.
- Part 3 — Who you need on your team.
- Part 4 — The home: what your house actually needs (sprinklers, fire code, the checklist, zoning).
- Part 5 — Getting your first resident placed.
- Part 6 — How you get paid: the real billing codes, the daily rate, and your first payment.
- Part 7 — What it costs and how long it takes.
- Part 8 — When they say “check locally”: who to call and exactly what to ask (Miami & Tampa worked out).

PART 0

The Big Picture

Opening a group home in Florida is not like opening a normal small business, and the reason people get lost is that the information lives in a dozen different places. Here it is in one place.

Foster home vs. group home — what you're actually opening

In Florida, a home where adults with intellectual or developmental disabilities (IDD) live and receive Residential Habilitation is a licensed residential facility under the Agency for Persons with Disabilities (APD). There are two sizes: a foster care facility (a family-style home for up to three residents — the small, host-home-style option) and a group home facility (four to fifteen residents — a larger operation). Both are licensed under the same chapter of rules (65G-2, F.A.C.) and both deliver services funded by the iBudget waiver.

The players — learn these names, you'll deal with all of them

- APD — the Agency for Persons with Disabilities. It runs the iBudget waiver, enrolls providers, and licenses and monitors your home.
- iBudget Florida — the Medicaid HCBS waiver that funds services; each client has an individual budget (an “iBudget”). It's fee-for-service, not managed care.
- AHCA — the Agency for Health Care Administration, Florida's Medicaid agency. You get your Medicaid provider number from AHCA.
- Waiver Support Coordinator (WSC) — the person who writes each client's support plan and cost plan and coordinates their services (Florida's case manager).
- QSI — the Questionnaire for Situational Information, the assessment that helps set each client's needs and budget.

The fork in the road — there are two ways in

This decides your scale, your cost, and your staffing.

- Path A — Open a licensed foster home (up to 3 residents). The smallest, fastest, lowest-cost entry, and the closest thing to a host home. You can often run it yourself with relief help, and a special “Live-In” rate is available for homes licensed for three or fewer.
- Path B — Open a group home (4–15 residents). A bigger operation with paid staff, more fire-code requirements, and more revenue. Many owners start with a foster home and grow into one or more group homes.

Either way, the licensing backbone is the same three tracks: enroll as an APD provider, get your facility licensed under 65G-2, and get a Medicaid provider number from AHCA. The rest of this guide walks all three.

PART 1 • PATH A

Open a Licensed Foster Home (≤3)

Start here. It's the fastest way in — and you can grow into a group home later.

Step 1 — Make sure it fits your life

A foster home means up to three adults with IDD live in your home and you support them through everyday life — meals, routines, appointments, the good days and the hard days. Everyone in the household who's 18 or older will be background-screened, so this is a family decision. It's also a licensed facility, so you're taking on real recordkeeping and inspections — go in with eyes open.

Step 2 — Secure your home and complete Pre-Service Training

APD requires you to have the home secured and available at the time of application, and to complete the required Pre-Service Training before you submit your iBudget provider application. Check APD's site for training dates.

Step 3 — Pass background screening

You and the required household members complete Level 2 background screening (fingerprint-based), per sections 393.0655, 435.04, and 409.907, Florida Statutes. You can't be suspended or terminated as a Medicaid/Medicare provider anywhere.

Step 4 — Enroll as an APD provider

Complete the APD provider enrollment application for the services you'll deliver (Residential Habilitation), meeting the iBudget Handbook and Florida Administrative Code requirements. Becoming a provider is a free process.

Step 5 — Apply for your facility license (65G-2)

Because Residential Habilitation is a licensed service, you also submit a separate APD licensing application for the foster home. The regional licensure specialist reviews it, then conducts a facility inspection for physical and safety standards, plus an HCBS-settings survey — both required before the license is issued (see Part 4).

Step 6 — Get your “Full” Medicaid provider number from AHCA

Apply to AHCA for your Medicaid provider number, and choose the correct enrollment type. To be paid by APD you must enroll as “Full” (choose the option to bill and receive payment directly from Medicaid) — a “limited” enrollment only lets managed-care plans pay you, and the type can't be changed later without starting over.

Step 7 — Put your policies in writing

Your policies and procedures — client rights and grievances, health and safety, incident reporting and abuse/neglect handling, and service delivery — must be documented. This is exactly what PolicyReady's Florida group home manual is built for: ready to customize, just add your details.

Step 8 — Get matched, and get paid

Your WSC network refers clients whose support plan calls for residential habilitation. Residents sign a residency agreement (room and board), and once you're delivering services you bill Medicaid and get paid (see Part 6). That first payment is the moment it all clicks.

PART 2 • PATH B

Open a Group Home (4-15)

Same licensing backbone as a foster home — here's what's different when you go bigger.

What changes with a group home

- Capacity & license: a group home serves 4–15 residents and is licensed as a group home facility under 65G-2.0072. APD reassesses your maximum capacity at each licensing, and any capacity increase requires a new fire inspection, a facility survey, and an amended license.
- Staffing: you'll employ direct-care staff on a schedule that meets the residents' needs, plus a facility operator/administrator. Foster homes can often run with the licensee and relief help; group homes need a real staffing plan.
- Fire code: larger homes face more from the fire authority (see Part 4) — more residents, and residents who can't self-evacuate, drive stiffer requirements.
- Money: more beds means more revenue, but also more overhead (staff, insurance, a larger property). Many owners open a foster home first, learn the ropes, then open group homes.

The steps are the same — at a larger scale

You still: complete Pre-Service Training, pass background screening, enroll as an APD provider, license the facility under 65G-2 (with the inspection and HCBS-settings survey), and get your “Full” AHCA Medicaid number — exactly as in Part 1. The difference is the size of the home, the staffing plan, and the fire requirements. Everything else carries straight over.

PART 3

Who You Actually Need (Staffing)

Foster home (≤3 residents): you can often run it yourself as the licensee, with at least one screened, trained back-up/relief caregiver (required if you use live-in caregivers). The “Live-In” rate model is designed for exactly this small setting.

Group home (4–15 residents): plan for a real team — one person can wear several hats at the start:

- Operator / administrator — runs the home, owns compliance and the APD license.
- Direct service providers (DSPs) — the caregivers who deliver day-to-day support and residential habilitation; scheduled to meet residents' needs around the clock.
- Residential supervisor — oversees the DSPs and daily operations in a larger home.
- Registered Nurse — for medication and health oversight (required at higher levels of care / Specialized Medical Home Care); often part-time or contracted at first.
- Billing / administrative support — submits Medicaid claims in FMMIS and tracks authorizations and payments.

All staff must clear Level 2 background screening and complete required training (including zero-tolerance/abuse-neglect, CPR/First Aid, and medication training where applicable) per the iBudget Handbook and 65G-2.

PART 4

The Home: What Your House Actually Needs

An honest heads-up for Florida

Florida is more “facility-oriented” than some states. Even a small foster home for three people is a licensed facility under Rule 65G-2 — it's inspected before licensure, fire-inspected annually, monitored by APD (at least monthly), and it runs monthly fire drills. That's more structure than a plain private-home host arrangement, so plan for real recordkeeping. The upside: the standards are clear and written down, and this guide walks them.

“Do I need fire sprinklers?” — the honest answer

It depends on your home's size and your residents. Florida residential facilities are inspected for fire safety by the local authority having jurisdiction (or the State Fire Marshal) under Chapter 69A-38, F.A.C. — the Uniform Fire Safety Standards for these homes. For a small foster home with ambulatory residents, full commercial sprinklers usually aren't required; larger group homes, and homes serving residents who can't self-evacuate, are where sprinkler and stricter requirements tend to come in. Because it's set by the fire code and your local fire authority, confirm your specific home with them before you buy or renovate.

THE HOME CHECKLIST (RULE 65G-2)

- Smoke and carbon-monoxide detectors in good working condition (a missing/nonworking detector is a Class II violation).
- An annual fire-safety inspection by the local fire authority or State Fire Marshal (Chapter 69A-38), plus documented monthly fire drills kept on file for a year.
- A written emergency and disaster plan; at least one accessible telephone with emergency numbers posted.
- Safe, sanitary, sound construction — floors, walls, windows, and doors in good repair; safe electrical and utilities.
- Bedrooms arranged for privacy; a maximum of two residents per bedroom for licenses issued under the current rule.
- A kitchen equipped to store, prepare, and serve meals for the licensed number of residents.
- No architectural barriers for residents with physical impairments (accessibility).
- Distinctive Florida rule: mobile or manufactured homes may NOT be used as a foster home, group home, or residential habilitation center.

Two more housing things that trip people up

- Zoning — Florida has a statewide protection. Under section 419.001, Florida Statutes, a “community residential home” of six or fewer residents is allowed in single-family and multifamily residential zoning as a matter of right — treated like any family home. Homes for 7–14 residents must notify the local government and generally can't be within 1,000 feet of another such home. So a foster home (≤ 3) or a small group home (≤ 6) is protected residential use; still confirm with your city/county.
- Room and board vs. the Medicaid payment. Medicaid pays for the service (residential habilitation), not the resident's rent and food. Residents pay their own room and board (usually from SSI) under a residency agreement — keep it current and separate from what you bill.

PART 5

Getting Your First Resident Placed

You can't get paid until a client is living with you. Here's how that happens.

1. The person qualifies. To receive iBudget services, the person must have an APD-eligible developmental disability (per section 393.063, F.S.) that began before age 18, meet an ICF/IID level of care, and be Medicaid-eligible. Florida has a large waitlist, so most clients have waited for a funded waiver slot.
2. The WSC builds the plan. The client's Waiver Support Coordinator develops their support plan and cost plan, informed by the QSI assessment, and identifies residential habilitation as a needed service.
3. The match. The WSC and families look for a licensed home that fits the person's needs and preferences — which is where your licensed, HCBS-compliant home comes in. Marketing to WSCs in your area is how homes fill.
4. Authorization. The service and rate are authorized on the client's cost plan for your home.
5. Move-in and sign. The resident signs a residency agreement (room and board) and moves in. Now you're delivering a billable service.

PART 6

How You Get Paid: Codes, the Daily Rate & Your First Payment

What you bill for: Residential Habilitation

The core service you bill is Residential Habilitation — supervision and training in daily-living, homemaking, and social skills. It's paid as a daily rate, and the rate depends on the type of residential habilitation and the client's Level of Supports (basic, minimal, moderate, extensive, or intensive).

The actual billing codes

Florida bills these through FMMIS (the state's Medicaid system) using HCPCS codes with modifiers that identify the type of residential habilitation:

Type of Residential Habilitation	HCPCS (base)	Billed as
Standard / Behavior-Focused / Intensive-Behavior	T2016 (+ modifiers)	Daily rate
Enhanced Intensive Behavior	T2025 (+ modifiers)	Daily rate (or monthly)
Live-In (for homes licensed for 3 or fewer)	T2016 Live-In model	Daily rate, up to 365 days

So the everyday code for most homes is **T2016 (Standard, Behavior-Focused, or Intensive-Behavior residential habilitation), billed per day**; the most intensive tier uses T2025. Modifiers on the claim pin down the exact type and level.

How much — and what moves the number

- Level of Supports: the daily rate rises with need (basic → intensive). For example, on the 2024 rate table an Intensive-Behavior residential habilitation day ran about \$409, and an Enhanced Intensive Behavior day ran about \$1,124 — Standard rates are lower. Use the current APD/AHCA rate table for your exact figure.
- Solo vs. agency: Florida publishes separate rates for a “solo” provider (self-employed/independent, two or fewer employees) and for an agency provider.
- Geography: rates differ by area, with Monroe County (the Keys) paid at a higher “geographical” rate.
- Who sets it: rates are set by AHCA/APD in the iBudget Waiver rate table and updated periodically (often effective July 1). Always confirm the current number before you budget.

Your first payment

6. Confirm the authorization on the client's cost plan — the residential habilitation type, level, and rate for your home.
7. Deliver and document the service each day.
8. Submit the claim in FMMIS — the right HCPCS code and modifiers for the type and level, billed per day.
9. Get paid — and never balance-bill. Medicaid pays the service; the resident owes only their agreed room and board. Never bill the resident or family for a covered service.

PART 7

What It Costs & How Long It Takes

Timeline

Plan for a multi-step process: Pre-Service Training, background screening, provider enrollment, the 65G-2 facility license (with the inspection and HCBS-settings survey), and your AHCA Medicaid number. Realistically this takes several months end to end, and you must have the home secured before you apply. A foster home is generally faster and cheaper to stand up than a group home. Confirm current timelines with your APD regional office.

Startup line items

Becoming an APD provider is free, but plan for: business formation and insurance; securing and preparing the home (fire-safety items, smoke/CO detectors, minor fixes to pass inspection); Pre-Service and required staff training; background screening fees; and your policies and procedures. A group home adds staffing payroll and a larger property. Confirm current fees with APD and AHCA.

PART 8

When They Say “check Locally”: Who to Call & What to Ask

Some things are handled by the State (APD/AHCA), and some by your local city or county (zoning, building, fire). Here's who to call and exactly what to ask, so you get a straight answer instead of getting bounced around.

The statewide offices (same for everyone)

For...	Contact
Becoming a provider & licensing (APD)	APD — 1-866-273-2273 (1-866-APD-CARES) · apd.myflorida.com → Providers
Your Medicaid provider number	AHCA (Florida Medicaid) — ahca.myflorida.com → Medicaid provider enrollment
iBudget rates & billing	APD → Provider Billing, Payments & Rates (rate tables); billed in FMMIS
Fire-safety standards	Local fire authority / State Fire Marshal — Chapter 69A-38, F.A.C.
Find your APD regional office	apd.myflorida.com/region

The local calls — and what to ask on each one

① YOUR APD REGIONAL OFFICE — YOUR MOST IMPORTANT CALL

- “I want to open a foster home / group home in this county. Who is my licensure specialist, and can you walk me through the application and inspection?”
- “What’s the current need for homes in this area, and are there WSCs looking for placements?”

② CITY OR COUNTY PLANNING / ZONING — “CAN I LEGALLY RUN A HOME HERE?”

- “I want to open a community residential home for adults with developmental disabilities — [three / up to six] residents. Under section 419.001, Florida Statutes, is this allowed at [address] as a single-family residential use?”
- “For a home of 7–14 residents, what notice and the 1,000-foot spacing rule apply here?”
- “Any local permits I need? Can you confirm in writing?”

③ LOCAL FIRE AUTHORITY / STATE FIRE MARSHAL — FIRE CODE

- “I’m licensing a foster/group home under APD. What does Chapter 69A-38 require for my home’s size and residents — alarms, extinguishers, exits, and do I need sprinklers?”
- “Who performs my annual fire inspection, and how do I schedule the initial one?”

Fully worked examples — Florida’s two biggest metros

Most people start in or near one of these two, so each one’s real call list is done for you below. If you’re elsewhere, use these as a template.

MIAMI (MIAMI-DADE COUNTY)

- APD regional office: APD Southern Region — 401 NW 2nd Avenue, Suite 811, Miami, FL 33128; (305) 349-1478 (serves Miami-Dade and Monroe).
- Zoning: City of Miami / Miami-Dade County zoning — confirm your address, and cite section 419.001, F.S. for a community residential home of six or fewer.
- Building & fire: Miami-Dade (or your city’s) building department for permits; Miami-Dade Fire Rescue (or the State Fire Marshal) for the Chapter 69A-38 fire inspection.
- The local quirk here: Monroe County (the Keys) is in this same APD region and is paid at Florida’s higher “geographical” Medicaid rate — worth knowing if you’re down in the Keys.

TAMPA (HILLSBOROUGH COUNTY)

- APD regional office: APD SunCoast Region — 1313 North Tampa Street, Suite 515, Tampa, FL 33602; (800) 615-8720; SunCoast Provider Development: (813) 233-4325 (serves Hillsborough, Pinellas, Pasco, Manatee, Sarasota and more).
- Zoning: City of Tampa / Hillsborough County zoning — confirm your address; the same section 419.001 protection applies statewide.
- Building & fire: City of Tampa (or Hillsborough County) building department for permits; the local fire authority for the annual Chapter 69A-38 inspection.
- The local quirk here: confirm whether your address is inside the City of Tampa or unincorporated Hillsborough County — the permitting and fire offices differ.

How to find your own city or county's numbers

10. Start with your APD regional office — they know the local landscape and your licensure specialist.
11. For zoning, search “[your city] FL zoning” or “[your county] FL planning,” or call your city/county main line and ask for Planning/Zoning; mention section 419.001 community residential homes.
12. Not sure who covers you? Call 2-1-1 Florida and ask.

CORE RULES & REFERENCES

- Chapter 393, Florida Statutes — the APD/developmental-disabilities law; §393.063 definitions (foster/group home).
- Rule 65G-2, F.A.C. — Licensure of Residential Facilities (§65G-2.007 general standards, §65G-2.0071 foster care, §65G-2.0072 group home, §65G-2.010 fire & emergency).
- Chapter 69A-38, F.A.C. — Uniform Fire Safety Standards for these residential facilities (State Fire Marshal).
- Section 419.001, F.S. — community residential home zoning protections. iBudget Waiver Handbook & rate tables — services, HCPCS codes (T2016 / T2025), and current rates.

You can do this.

Opening a group home is real work — and in Florida it's a real, licensed business that provides a home to people who need one. You don't have to be a lawyer or hire a consultant. You need a safe home, a good heart, and a clear map — and now you have the map. Whether you start small with a foster home or open a full group home, this guide takes you from your very first question all the way to your first payment.

Take it one step at a time, verify the current details with the State as you go, and lean on your APD regional office and your local fire authority — that's what they're there for.

Prepared for PolicyReady.org. Grounded in Florida APD and AHCA rules, the Florida Administrative Code, and the iBudget Waiver rate tables as of 2026. This guide is general information, not legal, tax, or billing advice. Requirements, rates, and codes change — always verify current details with the State of Florida before you act.